

S **TART-UPS IN** India had a ball of a time in 2021. Emerging from the pandemic, they attracted \$35 billion in private funding, produced a record 44 unicorns (start-ups with a valuation of \$1 billion or more) and went on a hiring spree to pursue their ambitious growth targets. They were the toast of the town and it seemed like the party would never end.

But a cloud of geopolitical and macroeconomic factors has proved to be a party pooper and Indian start-ups have sacked more than 11,000 employees since the beginning of the year. Those pulling down the streamers and blowing out the remaining candles include some of the most well-known names such as Ola, Blinkit (formerly Grofers), Unacademy, Vedantu and BYJU'S-owned WhiteHat Jr and Toppr. "I expected the lay-offs to be much higher," says serial entrepreneur K. Ganesh, Promoter of bigbasket, Portea Medical, HomeLane and BlueStone.

When asked why, Ganesh explains that start-ups raise money from venture capitalists (VCs) on the promise of exponential valuation growth. Then they hire a huge number of people to deploy in proj-



START-UPS, ONE OF THE GROWING WHITE-COLLAR JOB PROVIDERS IN THE INDIAN ECONOMY, HAVE HAD TO RESORT TO LAY-OFFS AS THEY PIVOT TOWARDS AUSTERITY AMID A FUNDING SQUEEZE

BY VIDYA S.

ILLUSTRATION BY PRABAL BISWAS